

ends up charging a higher fee than a 1 and 20 hedge fund if his average annualized returns are over 50 percent.

I consider Mr. Buffett's fee structure to be a sustainable competitive advantage. Fidelity Investments cannot go to zero fees below 6 percent annualized without putting their very existence at risk—there is too much infrastructure and staff that needs to be paid. The cloner in me figured that if I could somehow set up a fund with Mr. Buffett's fee structure, two things were likely to be true. First, it ought to be very appealing to a good number of mutual fund and hedge fund investors due to the superior economics. Second, it was not a fee structure that could be adopted by most mutual funds and hedge funds—even if they recognized the competitive advantage it would bring. Having a moat that your competitors can see in broad daylight but never ever cross is just fantastic—and a rarity. So I shamelessly cloned Mr. Buffett's fee structure. It has been over seven years since Pabrai Funds started and the moat is intact. There is no trend in the money management industry toward purely performance-based compensation. Here are some other observations on the Buffett Partnership:

- Mr. Buffett reinvested virtually all his fees back into the partnerships. Eventually, he was soon the largest investor in the partnerships. This is not true for most mutual funds and hedge funds. Most fund managers take their fees out every year to fund their multiple homes, boats, cars, and jets. Again, the manager's stake in his own fund is of critical importance to some investors. It creates another sustainable competitive advantage. To me, this was an easy one to clone. If I thought I was better off having someone else invest for me, then I ought not to run a fund—I ought to ask all my investors to invest in the other fund. This moat, too, remains intact. Very few mutual funds or hedge funds have guidelines like Mr. Buffett or Longleaf Partners, which discourage or disallow managers to invest in other funds or common stocks.
- Most mutual funds and hedge funds discuss their holdings at length with their investors from time to time. Mr. Buffett did not disclose most of his holdings to his investors. Even today, Mr. Buffett rarely discusses his public equity portfolio positions. He concluded that investing was not a spectator sport, and he was likely to compromise